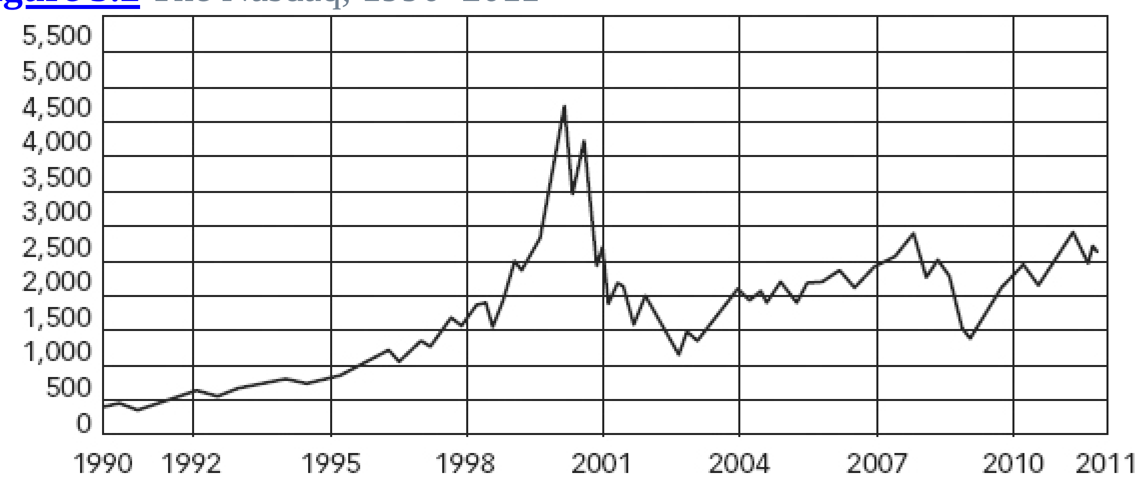
Since the typical investor is much more likely to be acquainted with the typical company, rather than the extraordinary one, he knows that if he wants extraordinary gains he must look beyond the companies that he knows. In fact, the further, the better. Because the more the terrain is unfamiliar, the more he can imagine what ever he wants.

That was much of the steam behind the high-tech bubble of the late 1990s. The companies often had no earnings and no clear way forward to get them. They claimed they had entered a new world, which made it sound very exciting. They even claimed that they did not really need capital, because they were leveraging information and knowledge via the Internet. And even if they did need a little money to get going, they wouldn’t need it long, since these businesses would be so profitable. They would soon be minting money and paving the streets to their headquarters with gold.

And who could have known better? The stocks had plenty of P (price), but no E (earnings) to measure them against. Investors didn’t know what they did or what they were worth. The fantasists could believe anything. The hallucinators thought they would all get rich. So the stocks went up and up and up . . . and then down. The Nasdaq, where these stocks were listed, blew up in January 2000 and has still not recovered (Figure 3.2).

Figure 3.2 The Nasdaq, 1990–2011



Before we go any further, this is probably a good place to show how money grows. Everyone has heard of “compound growth” rates. How do they actually work? Here, we are greatly assisted by our chief financial whiz and the chief economist of our own family office, Robert Marstrand, who prepared the following explanation: